

Lennox International Inc. (NYSE: LII)
Share price: \$366 (as of 9/11/26)
Recommendation: SHORT (6-12 months)

Market Cap: \$12.65B
52-wk Range: \$365.70 – 689

Background

Lennox International Inc (NYSE: LII) is a North American provider of HVAC (Heating, Ventilation, and Air Conditioning) and refrigeration solutions. It operates through two segments: Home Comfort Solutions (HCS) (~70% of revenue share), which sells furnaces, AC, and heat pumps for residential use, and Building Climate Solutions (BCS) (~30%) which sells light commercial units and refrigeration. The Lennox brand sits at the premium end of the price ladder. Lennox also owns several value brands (Armstrong Air, Ducane, AirEase, Concord) and in June 2026 paid ~\$200M for more (Comfort-Aire, Century, Coast Air).

North American residential HVAC is a roughly \$20–25B, 8–9-million-unit market¹ in which ~75% of demand is replacement of an installed base of ~100 million systems with a 15–20 yr lifespan, and ~25% is new construction. The trigger for most purchases is equipment failure. Six manufacturers hold most of the market across premium (Lennox, Carrier, Trane), mid (Rheem, York), and value (Daikin's Goodman, Lennox, Carrier, and Trane's value subsidiaries) tiers, and nearly all of them sell through independent distributors (Watsco is the largest) to contractors, a "two-step" model. Lennox is the exception; its flagship brand, roughly 80% of residential volume,² is sold "one-step" through ~250 company-owned stores directly to contractors. Its value brands go two-step through distributors where Lennox is a minor line. EPS has primarily grown through price increases and buybacks. From 2008 to 2025 revenue grew ~2% a year while EPS grew ~15%, the difference being operating margin expanding from ~8% to ~20% and the share count falling from 58M to 35M. Margin came from a series of regulatory catalysts (an efficiency mandate in 2023 and a refrigerant change in 2025) and industry-wide simultaneous price increases that pushed residential price/mix growth to ~7% a year over 2021–25. Residential volume fell 17% in 2025 as the channel worked off a pre-buy of old-refrigerant equipment (industry shipments ~20%, the lowest since 2016), and is down a further ~10% in 2026. 2026 is the first year in which none of the prior tailwinds are present: units are down double digits,³ a tax credit that subsidized premium systems expired in December 2025, tariffs are in the cost base, and management has cut full-year guidance twice, to \$23–24 of EPS, while pushing the residential recovery from the second half of 2026 to 2027. Buybacks have slowed as M&A absorbs cash.

The stock has fallen 35% year to date to \$366. P/E on current-year estimates has compressed from ~19x in January to ~15.5x today, while the 2026 estimate itself fell only 9%. Two guidance revisions each took ~20% off the price on a ~4% change to earnings. Consensus, however, still models an early 2027 recovery with projected 2027 EPS at \$26.12 (+11%) on revenue of \$5.93B (+7%), with residential segment margin held at 20.4–20.6% and residential revenue up 4–6%;⁴ the mean price target is \$514, at a multiple of ~19x. Lennox's commercial channel (BCS) is projected to grow 6–10%, while management's guidance dates the residential (HCS) recovery to early 2027, at 4–6% growth.

Thesis: I recommend SHORT (sell) on LII for three reasons.

1) Demand for Lennox's flagship brand is recovering slower than consensus assumes, as replacement pivots towards repairs and value brands. Consensus models 2027 residential revenue growth of about 6% with segment margins constant. Revenue could in principle be met by acquisitions and the indirect channel; holding margin cannot, because margin depends on the flagship brand that makes up roughly 80% of residential units. Management has already pushed the flagship recovery back twice and now places near-term growth in the indirect channel. We expect flagship volume to stay flat to down through 2027. Purchases of residential HVAC occur when an existing unit is replaced (75% of the time), either after a failure or as a planned renovation, or during new home construction (25%). Lennox's flagship brand sales are primarily of the first type, and management has deliberately shrunk its new construction business. Replacement-based flagship sales, however, are suppressed. First, cost and macro pressures make replacement significantly more expensive: installed cost is up 30–40% since 2020, financing rates have roughly doubled, and a federal tax credit for efficient systems expired December 2025. Consumers are increasingly repairing rather than replacing. Across roughly 2 million

tracked HVAC contractor jobs, repair rose from 21.6% of HVAC contractor revenue in 2021 to 31.3% in 2025, meaning homeowners are choosing repairs over replacement.⁵ Simultaneously, Google search interest in AC repair relative to AC replacement has risen since the early 2020s and reached its highest levels in 2025 and 2026, even as total failure-related searches ran at roughly three times their 2019 level (see Appendix Figure 1).⁶ Moreover, we directly called 20 HVAC contractors, and 17/20 reported an increased share of repair requests relative to replacement requests within the last 3 years.⁷ Second, when replacement does occur, contractors increasingly offer lower-efficiency value lines. Daikin (a value-brand competitor to Lennox) reported American air-conditioning sales up 18% in Q2 2026, alongside a 3-point North American share gain.⁸ Lennox's CFO stated that Lennox's two-step (value brand) volumes held flat while one-step (flagship, direct) volumes fell in the mid-teens, in a quarter when industry shipments rose 11%. And, of the HVAC contractors called, 14/20 reported quoting Lennox less often than three years ago, while 15/20 reported customers choosing value over premium brands. Earnings growth requires higher-margin flagship sales. Lennox flagship sales account for roughly 80% of residential unit volume; residential is about 70% of company revenue; and the flagship carries the highest margin in the portfolio. Flagship stagnation therefore affects roughly half of revenue and more than half of profit, at a rate of about \$0.25 of EPS for every point of residential volume.⁹ Three to seven points of volume below consensus is \$0.75–1.75 of 2027 EPS.

2) Rotation into value brands dilutes margin and strains Lennox's fixed costs. Lennox runs two channels with very different cost structures. With Lennox's flagship recovery stagnated, consensus residential HVAC volume recovery must come from Lennox's value brands. The flagship brand is sold "one-step," directly to contractors through a Lennox-operated network of roughly 250 stores; because Lennox acts as its own distributor, it keeps the wholesale spread an independent distributor would otherwise earn (Watsco's gross margin on that spread runs 27–29%).¹⁰ Lennox's value brands (Armstrong Air, Ducane, AirEase, Concord, and new acquisitions), however, are sold "two-step" through independent distributors, where Lennox is a minor line beside competitors and earns a manufacturer's margin only, roughly 24 cents per dollar, based on the profit Lennox's acquired value brands contributed in Q2 2026.¹¹ This restricts earnings recovery from two sides simultaneously. On revenue, any recovered volume through value brands earns less. Lennox does not disclose margin by channel, but in Q2 2026 the acquired value brands added about 2% of volume (roughly \$20M of revenue) and \$5M of segment profit, a ~24% contribution before integration costs and amortization. Management said that new acquisitions will not be accretive to EPS until 2027. On cost, lost flagship volume leaves a fixed base spread over fewer units. Per Lennox's own quarterly profit bridges, each of the last four quarters the company attributed \$49–102M of lost residential profit to lower volume, which against the revenue lost to volume is a 36–40% decremental margin.¹² One-to-one rotation from flagship to value-brand thus earns 24 cents but loses ~38 cents on each dollar of sales on account of carrying roughly \$540M a year of fixed flagship cost in stores (~\$350M of lease liabilities), logistics, dealer support, and Lennox-held inventory. Value-brand units do not sell through that network, so they do nothing to recover it. Even if value-brand volume does eventually scale enough to recover profit on smaller margins, that happens on a longer horizon than consensus assumes. Value brands would need to grow roughly six times as fast as the flagship shrinks to hold residential profit flat,¹³ 6–18% a year against a 1–3% flagship decline. But value-brand volumes were flat in Q2 during the industry restock, management guides low-single-digit growth for late 2026, and Lennox's own path to value growth is M&A, which operates on a longer timeline than early 2027. This dilutive rotation is already materializing. On the Q2 call the CFO said value-brand volumes were flat YoY while flagship volumes fell in the mid-teens, in a quarter when industry shipments rose 11%; in Q1 he attributed limited volume improvement to the value channel, and second-half growth is guided "mostly in the indirect (value) channel." HARDI's distributor data shows minimum-efficiency (e.g., value) units rising from 52% to 57% of AC volume YoY (May 2025 to May 2026).¹⁴ Each dollar rotated from flagship to value costs roughly 14 cents of residential segment profit. Even with flagship volume up 4% and value brands up 6%, the cost structure produces a residential margin near 19.8% before any price increases; with flagship down 2% and value up 12% it is 19.0%. Consensus holds residential margin at roughly 21%, a gap of ~200 bps in an already unlikely volume growth case that only price increases could close.¹⁵ On consensus revenue estimates, each 100 basis points of residential margin is about \$0.75 of EPS, so the rotation alone is worth \$0.80–1.65 of consensus 2027 EPS.

3) Price increases are suppressed and no longer large enough to hold margin. Consensus holds 2027 residential margin near 21%. But price increases are unsustainable and unlikely to occur at the same rate as 2021-2025, for three reasons. First, most of Lennox's apparent pricing power since 2022 came from regulatory catalysts (2023: mandated efficiency uprating; 2025: a refrigerant transition forcing buyers into pricier units). In years with no rule in force, a list increase of up to 10% realized only 2–4 points, after accounting for down-mixing, discounts, etc (see Appendix Table 2).¹⁶ 2027 expects no regulatory catalysts, so the relevant comparison is the weaker years. Second, HVAC demand is traditionally modeled as non-discretionary but in reality is more elastic than the market assumes; the elasticity shows up as repair and trade-down rather than as going without (see above, driver (1)), deterring excessive increases. 2026 price increases further demonstrated consumer elasticity; Lennox raised prices up to 10% while Carrier raised 6–8% and Trane 2–5%, and over the following two quarters Lennox's flagship units sales fell mid-teens against an industry up 11%. In revenue, +\$24M of profit attributed to mix/price and –\$49M to lower volume.¹⁷ Attributing even just half of that gap to price still implies 8–10 points of relative volume loss for 3–5 points of relative price, an elasticity of roughly –2 to –3. Industry-wide elasticity over 2019–25 was about –0.5 (equipment prices up 30–40%, units down 8–25%). So when Lennox unilaterally raises prices over peers, customers empirically sidestep by buying competitors. Third, the next increase faces constraints the last one did not. Two class actions (Berg v. Bosch et al., Isom v. Trane et al.) allege coordinated increases since 2020, which deters industry-wide joint price increases.¹⁸ Peers have already moderated to 2–8%; Watsco says 2026 pricing is back to historical patterns and calls 2025's margins an anomaly. Deutsche Bank now expects industry pricing to revert to its 0–2% historical range. Morgan Stanley attributes Lennox's post-COVID pricing power to "pricing above HVAC PPI, a tailwind that likely fades." Even conservatively, price/mix increases are unlikely to be successfully realized beyond 1-3%; realization of 1–2 points gross is 0.5–1 point net of tariffs.

Valuation: Our base case is 2027 EPS of \$24–25.50 against consensus of \$26.12, and a share price of \$320–350 at 13–14x P/E, versus \$366 today. We assume flagship volume declines a further 6% in 2027, after residential volume fell 17% in 2025 and roughly 10% in 2026 (with flagship sales down mid-teens in Q2), value brands grow 6%, and one net point of price survives input inflation. That produces residential revenue roughly flat on a 20.1% margin and \$24.42 of EPS, 6.5% below consensus (Appendix Table 3);¹⁹ at 1.5 net points of price increase it is \$24.80, still 5% below. Lennox currently trades at 15.5x 2026 EPS and 14.0x 2027 consensus EPS against a 10-year median above 21x, and the two 2026 guidance cuts each removed roughly 20% of the price on a ~4% change to the estimate. The market is thus highly skeptical of recovery delays, and we expect a third year of residential recovery delays to further compress P/E, in the short term, to ~13-14x, for a share price of ~\$317-348.

Catalysts: (1) If Daikin Q2 FY2026 results (early November) indicate a repeat quarter of double-digit Americas growth while Lennox reports residential volume down, the share-loss to value brands thesis is further confirmed. (2) Lennox typically announces the next year's increase in December; an announcement of <=5% implies price is back to its normal 1-2 point YoY increase (not enough to recover 2027) and potentially signals response to active antitrust concerns. (3) The Q4 2026 results and initial 2027 guidance, in late January will confirm, and we expect revised guidance with continued delay. A guide of \$24.50–25.50 EPS with residential recovery described as second-half or 2028 is an indicator for the short.

Risks: (1) Weather: A hot 2027 summer that leads to increased AC failures could force replacement regardless of price sensitivity, even if a larger share goes to repairs. This is mitigated by occurring post-2027 guidance revision, so an unpredictable summer is a late catalyst that the short can avoid on shorter horizon. (2) Commercial revenue from BCS could scale and outgrow HCS revenue; but consensus and management guidance project deceleration, and even a repeat of 2026's growth is less than one point of residential margin.²⁰

Appendix

Sources

1. AHRI Dec. 2025 and Jul. 2026 shipment releases; Deutsche Bank (DB), "Growth on a Cooling Cycle," 9/13/26.
2. Lennox Q2 2026 call, 7/29/26 (two-step flat, one-step down mid-teens, total -12% → one-step ≈ 80% of volume).
3. Lennox Q1/Q2 2026 10-Qs (volume -21%, -12%); FY2025 10-K (-17%); guidance cuts 4/29/26 and 7/29/26.
4. Refinitiv consensus 9/2/26 via Morgan Stanley (MS), 9/3/26; segment margins MS 20.4%, DB 20.6%; P/E history DB Figs. 2–3.
5. Housecall Pro, "Trades Pulse: HVAC Repair Economics" (2026), ~2M jobs 2021–25.
6. Google Trends, US, monthly 2004–Sept. 2026; "AC repair," "AC replacement," "new AC"; Jun–Aug averages; author's calc. Appendix Figs. 1.
7. Author's channel check, Sept. 2026, 20 contractors (Lennox dealer locator and general listings); questions and tallies in Appendix Table 1; small non-random sample.
8. Daikin FY2026 Q1 results (Americas AC +18%); Nov. 2025 briefing (+3 pts NA share). Industry Q2 +11% from AHRI Mar./Jun. 2026 YTD releases.
9. ~\$3.3B residential revenue × 1% × ~38% flow-through (n. 12) × 0.79 ÷ 34.5M shares ≈ \$0.25.
10. Watsco Q2 2026 10-Q (GM 27.5% vs 29.3%; Q1 10-Q: equipment mix). Watsco is a Carrier JV partner and does not carry Lennox.
11. Lennox Q2 2026 10-Q (acquisitions ~2% of volume, \$5M profit); Q2 call (accretive in 2027).
12. Lennox Q3'25–Q2'26 segment bridges: volume headwinds \$86/\$102/\$56/\$49M vs revenue lost ~\$238/\$284/\$151/\$121M; CFO "35% incrementals" (Q2 call). Leases: FY2025 10-K.
13. Flagship ~\$2.7B, value ~\$0.67B; 1% of flagship at 38¢ ≈ \$10M profit ≈ \$40M of value revenue at 24¢ ≈ 6% of value base.
14. HARDI Unitary Market data, 12 months to May 2026, via Homepros, 7/27/26.
15. \$26.12 × 34.5M ÷ 0.80 + \$96M interest + \$109M corporate – ~\$600M BCS profit ≈ \$730M on ~\$3.45B ≈ 21%; inputs DB 2027E.
16. Lennox 10-Ks 2022–25, 2026 10-Qs (price/mix); announced increases and peer increases per ACHR News, 2021–Feb. 2026. Appendix Table 2.
17. Lennox Q2 2026 10-Q bridge. Industry elasticity: BLS AC/refrigeration PPI (+50% since 2020, DB Fig. 12) vs AHRI shipments 2019–25.
18. Berg v. Bosch et al. (E.D. Mich., 3/20/26); Isom v. Trane et al., 2:26-cv-11294 (E.D. Mich., 4/20/26); six cases consolidated 5/14/26. Watsco Q2 call; DB 9/13/26 p. 8; MS 9/3/26.
19. Author's model; 2026E base and non-residential inputs from DB 9/13/26.

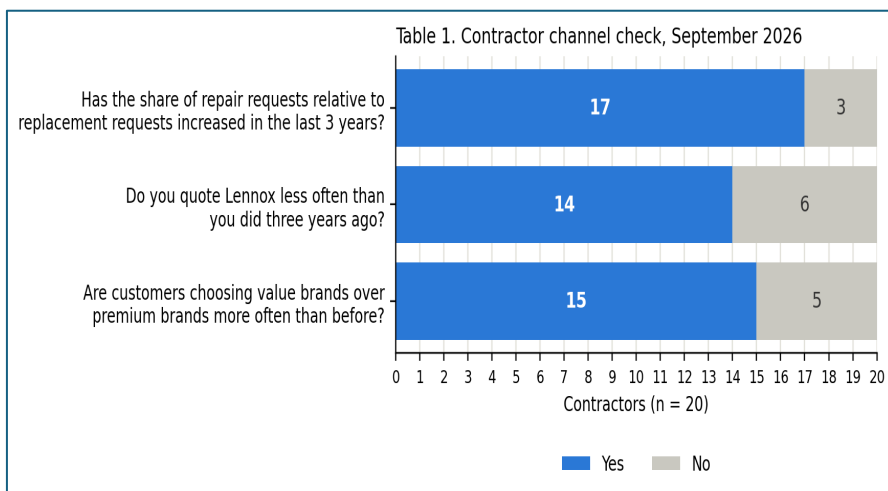
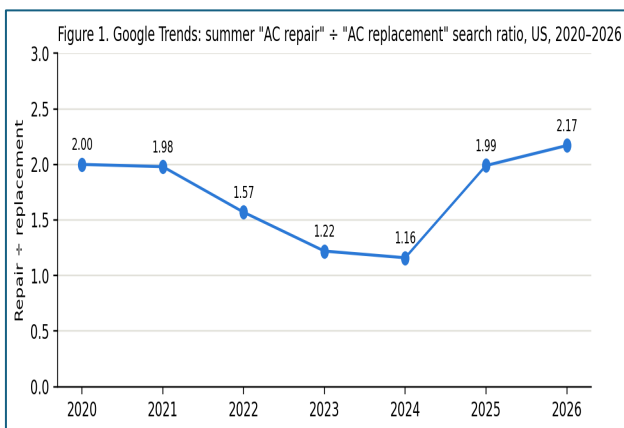


Table 2. Announced vs. realized residential price, Lennox 2022–2026

Period	Announced list increase	Realized price + mix	Regulatory event	HCS volume
2022	Up to 9% (+2021 carryover)	+12% (price 11, mix 1)	None	+4%
2023	Up to 8%	+8% (price 2, mix 6)	SEER2 minimum (mix)	–7%
2024	Up to 10%	+4%	None	+7% (pre-buy)
2025	10% on A2L products	+10%	A2L transition (mix)	–17%
Q1 2026	Up to 10% (Feb 16)	+9%	A2L carryover	–21%
Q2 2026	Up to 10%	+3%	None	–12%

Table 3 methodology. Base assumptions: residential (HCS) revenue \$3,252M and segment profit \$660M (20.3%); commercial (BCS) revenue \$2,286M and profit \$557M. The flagship channel is taken as 80% of 2026E residential revenue (\$2,602M), from the CFO's Q2 2026 channel commentary; value brands are the remaining \$650M. Residential 2027 revenue = (flagship revenue × (1 + flagship volume change) + value revenue × (1 + value volume change)) × (1 + gross price/mix) + \$60M of incremental acquired revenue (annualization of Heat Controller). Residential 2027 profit = \$660M + 38% × (flagship revenue × flagship volume change) + 24% × (value revenue × value volume change + \$60M) + net realized price × 2027 residential revenue. The 38% is the flow-through Lennox's Q3 2025–Q2 2026 segment bridges show on lost volume (36–40%); management guides "35% incrementals"; the 24% is the contribution implied by Q2 2026 acquisitions (\$5M profit on ~\$20M revenue). Gross price/mix lifts revenue; net price, after input-cost inflation, flows to profit at roughly 100%. Gross price/mix by case: consensus 3.0, bull 3.0, base 2.5, bear 1.0. BCS grows 6% at a 24.8% margin (\$601M). Corporate expense ~\$109M, interest \$96M, tax rate 20%, 34.5M diluted shares, all per DB 2027E. EPS = (residential profit + \$601M – \$109M – \$96M) × 0.80 ÷ 34.5M. Consensus 2027 EPS \$26.12 (Refinitiv, Sept. 2, 2026); current price \$366 (Sept. 11, 2026). Share prices are EPS × the stated multiple.

Table 3. 2027 scenarios

Case	2027 vs. 2026E assumptions	HCS rev.	Margin	EPS	vs. cons.	12x	13x	14x	15x
Consensus	Flagship flat, value +6%, +1.5 pts net price	+6.1%	21.3%	\$26.24	+0.4%	\$315	\$341	\$367	\$394
Bull	Flagship +2%, value +6%, +2.0 pts net	+7.7%	22.1%	\$27.12	+3.8%	\$325	\$353	\$380	\$407
Base	Flagship –6%, value +6%, +1.0 pt net	+0.7%	20.1%	\$24.42	–6.5%	\$293	\$317	\$342	\$366
Bear	Flagship –8%, value +6%, 0 pts net	–2.4%	19.1%	\$23.20	–11.2%	\$278	\$302	\$325	\$348

AI disclosure: Claude was used for concept explanation, retrieval of figures from filings and AHRI releases, some research, and model structure; all primary research, analysis, and text are the author's.